REAL-COMPANY CASE STUDY · GCSE & A-LEVEL BUSINESS

Gymshark

From a Birmingham garage to a £1.45 billion brand

A free, print-ready classroom pack built around real Companies House figures (FY2023–FY2025). Briefings, exam-style questions tagged to the AQA GCSE 8132 and A-Level 7132 specifications, and teacher answer guidance. Photocopies fine in black and white.

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The story so far

Gymshark is a fitness clothing company. Ben Francis started it in 2012, aged 19, while he was a university student delivering pizzas for Pizza Hut. He screen-printed gym wear at his parents' house in Birmingham and sold it online – there were no shops and no shop rent. Instead of paying for traditional adverts, Francis sent free clothing to fitness YouTubers and athletes, who wore it in front of their followers. That word-of-mouth model is still how the brand grows today.

Gymshark sells almost entirely direct to customers through its own website and app – a direct-to-consumer (D2C) model. It took no outside investment for its first eight years. In August 2020 the private equity firm General Atlantic bought roughly a 20% stake, a deal that valued Gymshark at over £1.45 billion and made Francis one of the UK's youngest billionaires on paper.

Timeline

2012	Founded by Ben Francis (19) in a Birmingham garage; gym wear printed at home and sold online.
2013	Growth through fitness expos and sponsored YouTube 'athletes' rather than paid adverts.
2020	General Atlantic buys ~20% stake; Gymshark valued at over £1.45 billion.
2024	Revenue passes £600m for the first time (£607.3m).
2025	Revenue reaches £646m; sells to customers in around 230 countries; 900+ staff.

Key facts to keep handy: D2C (website and app), social following around 18 million, customers in roughly 230 countries, 900+ employees.

The numbers

All figures below are from Gymshark Ltd's published accounts (financial year ends 31 July). Notice the pattern: revenue keeps rising, but pre-tax profit has fallen three years running. That is a deliberate choice – the company keeps spending earnings back into the business.

Financial year (to 31 July)	FY2023	FY2024	FY2025
Revenue	£557m*	£607.3m	£646m
Pre-tax profit	£13.1m	£11.9m	£7m
Adjusted EBITDA	£45.3m*	£51.7m	£53.3m

* FY2023 revenue and EBITDA are approximate, derived from the percentage changes reported with the FY2024 results. FY2024 and FY2025 figures are as reported.

Extra figure for FY2025: the company ended the year with more than £37m in cash – useful for funding more reinvestment without new borrowing.

Warm-up calculations

GCSE 8132 · 3.5 / quantitative skills · 2 marks

Revenue rose from £607.3m (FY2024) to £646m (FY2025). Calculate the percentage change in revenue. Give your answer to one decimal place.

A-LEVEL 7132 · 3.5 Finance · 3 marks

Using the FY2025 figures, calculate Gymshark's pre-tax profit as a percentage of revenue (profit margin). Then state one reason why this margin is lower than you might expect for a brand of this size.

Section A – Marketing and building a community

Gymshark almost never used billboards or TV adverts. Early on, Francis sent free clothing to fitness influencers on YouTube and Instagram; their followers saw the brand on people they already trusted. Gymshark now calls its sponsored creators 'athletes', runs pop-up events, and sells through its own website and app so it owns the customer relationship and the data. Its social following is around 18 million.

GCSE 8132 · 3.5.4 Promotion · 3 marks

Explain one benefit to Gymshark of using social media influencers instead of television advertising.

GCSE 8132 · 3.5.4 Marketing mix / e-commerce · 6 marks

Analyse the advantages to Gymshark of selling directly through its own website and app rather than through other retailers' shops.

A-LEVEL 7132 · 3.3 Marketing · 9 marks

Analyse the ways in which a strong online community helps Gymshark build customer loyalty.

A-LEVEL 7132 · 3.3 Marketing · 12 marks

Gymshark spends little on traditional advertising. Assess whether relying on influencer marketing is the best promotional strategy for a clothing brand competing with Nike and adidas.

Section B – Growth and business objectives

For its first eight years Gymshark grew using its own retained profit – no bank loans or investors. This is organic growth: more products, more countries, more customers, funded from within. In 2020 it changed approach and sold a stake to General Atlantic for the money and expertise to expand faster, especially in the United States. The brand now reaches customers in around 230 countries and employs more than 900 people.

GCSE 8132 · 3.1.1 The purpose of business · 3 marks

Explain one reason why Ben Francis may have set up Gymshark.

GCSE 8132 · 3.2 Influences / globalisation · 6 marks

Analyse the benefits to Gymshark of selling to customers in around 230 countries.

A-LEVEL 7132 · 3.1 What is business · 9 marks

Analyse why Gymshark may have chosen organic growth funded by retained profit for its first eight years.

A-LEVEL 7132 · 3.8 / 3.9 Growth & finance · 12 marks

In 2020 Gymshark sold a 20% stake to a private equity firm. Assess the benefits and drawbacks to a founder-led business of taking external private equity investment.

Section C – Finance: why is profit falling while revenue rises?

This is the part students find surprising. Gymshark's revenue rose every year, yet pre-tax profit fell from £13.1m (FY2023) to £11.9m (FY2024) to £7m (FY2025). The company says this is on purpose: it is reinvesting earnings into staff, technology, new markets and stores. EBITDA – profit before interest, tax and accounting charges like depreciation – actually rose to £53.3m, which suggests the underlying business is still growing.

GCSE 8132 · 3.6 / quantitative skills · 4 marks

Pre-tax profit fell from £11.9m (FY2024) to £7m (FY2025). Calculate the percentage fall, and state one piece of information you would want before judging whether this is a problem.

A-LEVEL 7132 · 3.5 Finance · 9 marks

Explain how a business can grow its revenue and its EBITDA while its pre-tax profit falls.

A-LEVEL 7132 · 3.5 / 3.6 · 16 marks

Gymshark's profit has fallen for three years as it reinvests in the business. Evaluate whether rising revenue or rising profit is the more useful measure of Gymshark's success.

Teacher notes and answer guidance

Indicative content only – reward valid alternatives and well-supported judgement.

Revenue % change	(646 – 607.3) / 607.3 × 100 = +6.4% (1 d.p.). Accept +6.3% to +6.4% depending on rounding.
FY25 profit margin	7 / 646 × 100 = 1.1%. Low because the firm reinvests heavily, so reported pre-tax profit is held down on purpose.
Profit % fall (FY24-FY25)	(11.9 – 7) / 11.9 × 100 = 41.2% fall. Good extra info to ask for: how much was reinvested, and whether EBITDA/revenue still rose (they did).
Influencer vs TV (GCSE)	Lower cost; reaches a targeted fitness audience; trusted recommendation; measurable online. One clear, applied reason earns the marks.
D2C analysis	Keeps the full margin (no retailer cut); owns customer data; controls brand image; direct feedback. Chains of reasoning back to profit or loyalty score best.
Organic growth (A-Level)	Keeps full ownership and control; lower risk than debt; no interest; but slower, and limited by how much profit it makes. Link to the founder keeping control.
Private equity 12-mark	For: capital, expertise, networks for US expansion. Against: loss of some control, pressure for returns, possible culture clash. Judgement should weigh founder control against speed of growth.
Revenue vs profit (16 marks)	Strong answers note that profit is being suppressed deliberately, that EBITDA and cash (£37m+) suggest health, and that the 'best' measure depends on the time frame and the stakeholder.

Sources

Gymshark Ltd published accounts (FY2024, FY2025) as reported by SGI Europe, FashionUnited and Modaes; General Atlantic 2020 investment announcement; Gymshark company background (1st Formations). Figures current as of June 2026.

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We're running free classroom pilots. If you'd like to try it with a Year 11, 12 or 13 group, grab a spot at **thebusiness.school** – no pressure, and the pack above is yours to keep either way.

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